STRATEGIC MATERIALS POLICY TRACKER

FI003 JPMorgan and MP Materials, draft 0.8

JPMorgan and MP Materials

Financing a build before revenue: a recommendation

Benjamin Yang · Research draft 0.8 · 8 November 2026 · Evidence to 6 November 2026

Proposed revision; draft 0.7 remains the review baseline. Publication hold remains in place.

DRAFT · REVIEW GATES PENDING

Raise permanent equity first and hold an undrawn revolver as a conditional backstop

Recommendation for a hypothetical U.S. sponsor building before commissioning revenue; USD million, figures shown side by side

#	Item	USD million
1	**Net equity (reported)**	724.2
2	**Revolver available, Sep 26**	203.0
3	**Liquid-asset fall, 9m 2026**	492.4
4	**Unused fee a year**	0.7
5	**Expired commitment fees**	7.4

USD million

READING THE TABLE

1. Permanent capital with no scheduled principal or interest before commissioning revenue exists.
2. Conditional capacity after letters of credit, not cash; drawing it brings interest and covenant tests.
4. Analyst calculation at zero draws and static September letters of credit; excludes other fees.
5. Paid for a $1bn commitment that expired undrawn on 26 August 2025.

INTERPRETATION

Proposed editorial judgment, draft 0.8, 8 November 2026; pending maintainer review. The figures are different measures and are not additive. The record does not rank cost of capital, because loan terms are not public.

Source: S07; S09; S11; S19. Underwriting agreement; 2025 10-K; Q3 2026 10-Q; credit agreement

JPMorgan shared each financing role with Goldman Sachs or other banks

Roles named in the reviewed filings and in J.P. Morgan's own account; blank means not named in those sources

Organisation	Adviser	Joint commitment	Underwriting	Revolver agent
JPMorgan	● Own account	● Joint	● Joint largest	● Agent, lender
Goldman Sachs		● Joint	● Joint largest	
Morgan Stanley			● Smaller share	
Organisations in role	**1**	**2**	**3**	**1**

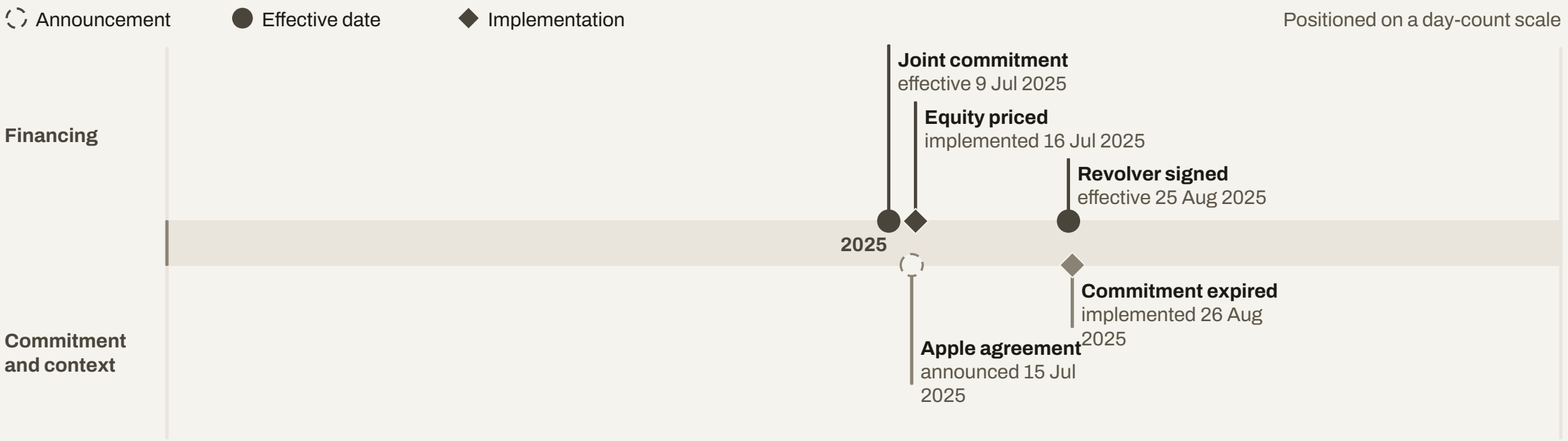
● Holds the role in the source set; text beside the mark qualifies it. No amounts are shown.

INTERPRETATION The case shows a bank group, not a single lender's decision. The adviser role rests on J.P. Morgan's own account; fees, retention and internal credit decisions are not disclosed.

Source: S01; S07; S08; S15. Company filings; J.P. Morgan's own account for the adviser role

Equity and a revolver replaced the joint commitment within seven weeks

Financing events and the agreements around them, July to August 2025



INTERPRETATION Government agreements (9 July) and Apple's 15 July agreement preceded the 16 July pricing. The record does not isolate their effect on equity demand.

Source: S01; S06; S08; S17. SEC filings, July to August 2025

Net equity of $724.2m replaced a $1bn commitment that was never drawn

USD million; cash proceeds and committed capacity shown together, not summed

#	Item	USD million
1	**Gross equity (calculated)**	747.5
2	**Underwriting discount**	22.4
3	**Net equity (reported)**	724.2
4	**Revolver capacity**	275.0
5	**Original commitment min.**	1,000.0

USD million

READING THE TABLE

3 Reported equity issuance net of costs; no scheduled principal repayment.

4 Committed capacity, not proceeds; drawn loans are zero in every reported snapshot.

5 Reference minimum for a commitment that expired undrawn; its fees were still expensed.

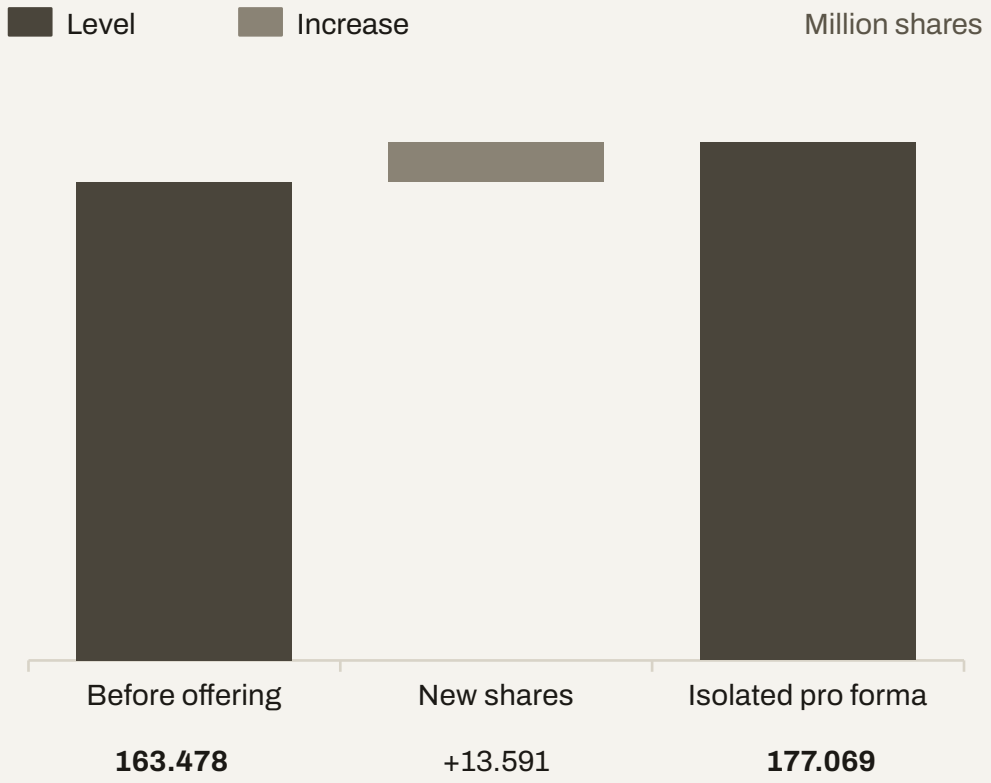
INTERPRETATION

The comparison mixes cash and capacity and is arithmetic only. About $0.9m separates the after-discount equity from reported net proceeds as other expenses and rounding.

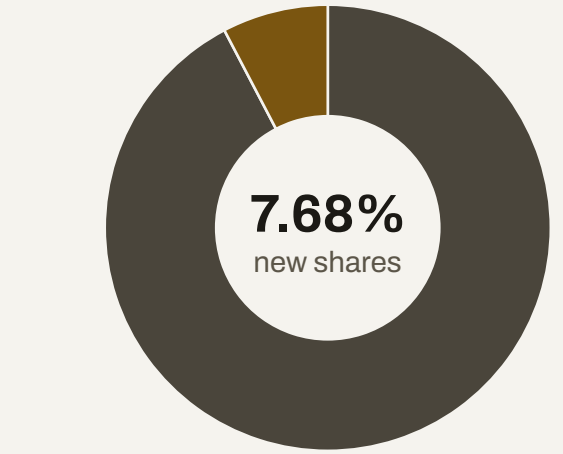
Source: S01; S07; S08; S11. Underwriting agreement; 2025 10-K

New shares added 8.31% to the basic count and are 7.68% of the isolated base

Bridge from basic shares before the July 2025 offering to the isolated pro forma, then the composition of that pro forma



Composition of the isolated pro forma



7.68% New shares

92.32% Pre-offering basic shares

Base: 177.069m shares, isolated pro forma

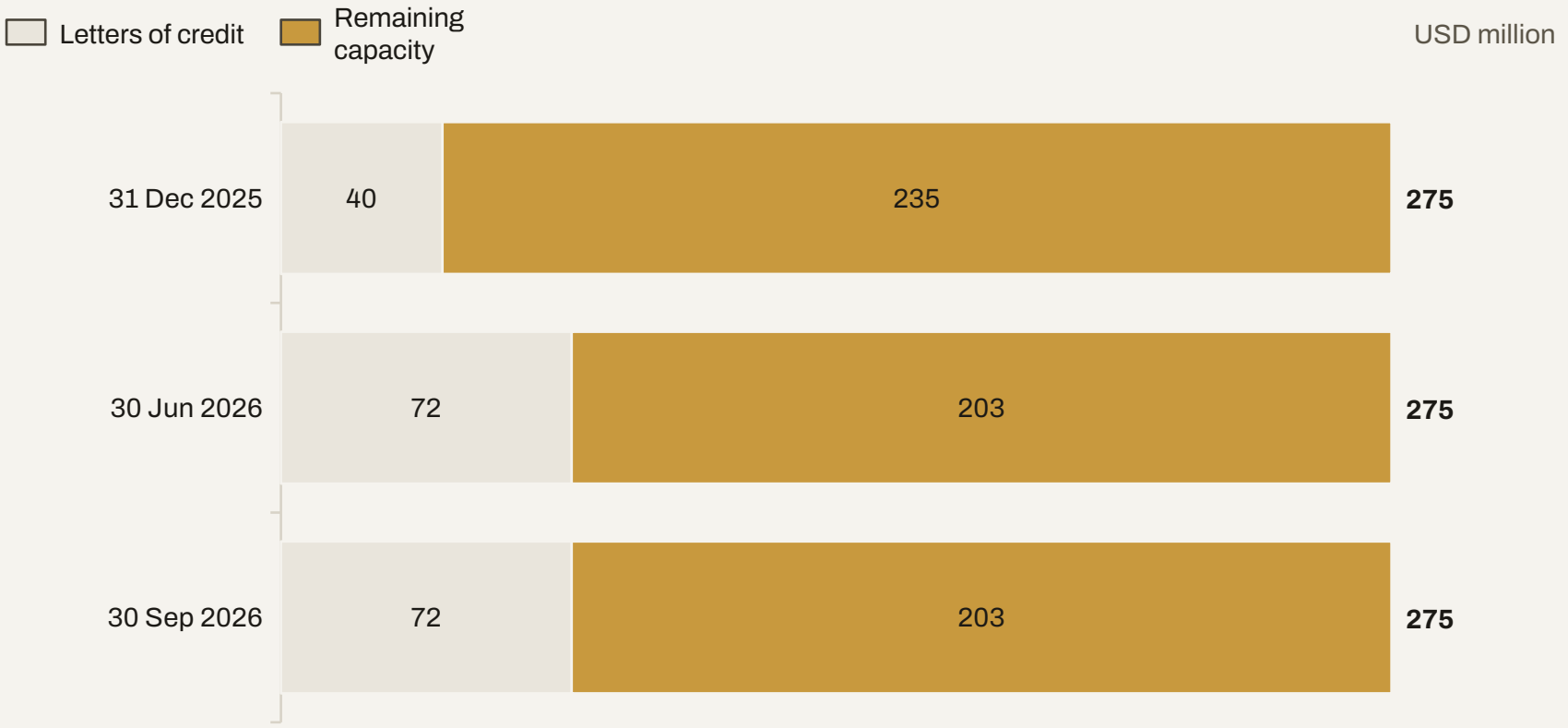
INTERPRETATION

Dilution is the price of avoiding fixed charges, and it is the same whether or not a revolver sits alongside. 8.31% uses the pre-offering basic count; 7.68% the isolated post-offering base. Not fully diluted.

Source: S06; S11. Prospectus supplement; 2025 10-K

Letters of credit leave $203m of the $275m revolver available to draw

USD million at three reported dates; no loan draws in any snapshot



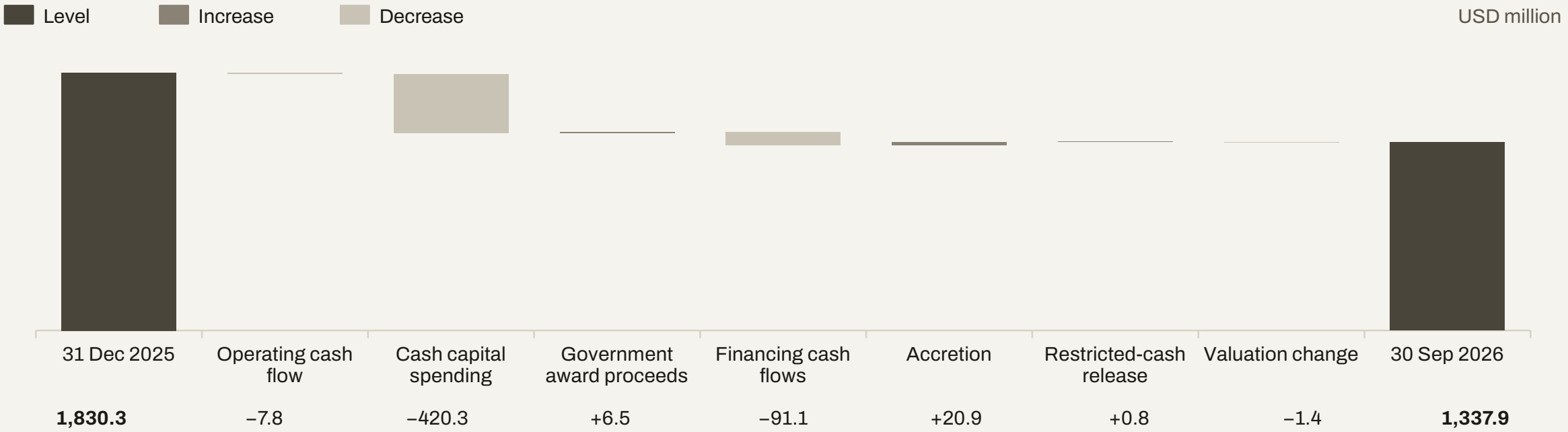
INTERPRETATION

Availability is conditional on the credit agreement's terms and is not cash. The letter-of-credit sublimit is not additive to loans, and no future availability is assumed.

Source: S11; S13; S19. 2025 10-K; Q2 and Q3 2026 10-Qs

Company liquid assets fell $492.4m in nine months as expansion continued

USD million, 31 December 2025 to 30 September 2026



INTERPRETATION Capital spending covers all company projects, not 10X alone. Price protection cash of $110.9m is already inside operating cash flow. The bridge is reported, not forecast.

Source: S19. Q3 2026 10-Q

Covenant tests could begin before 10X commissioning is expected in 2028

Reported events and illustrative test dates; dates marked targeted are model assumptions



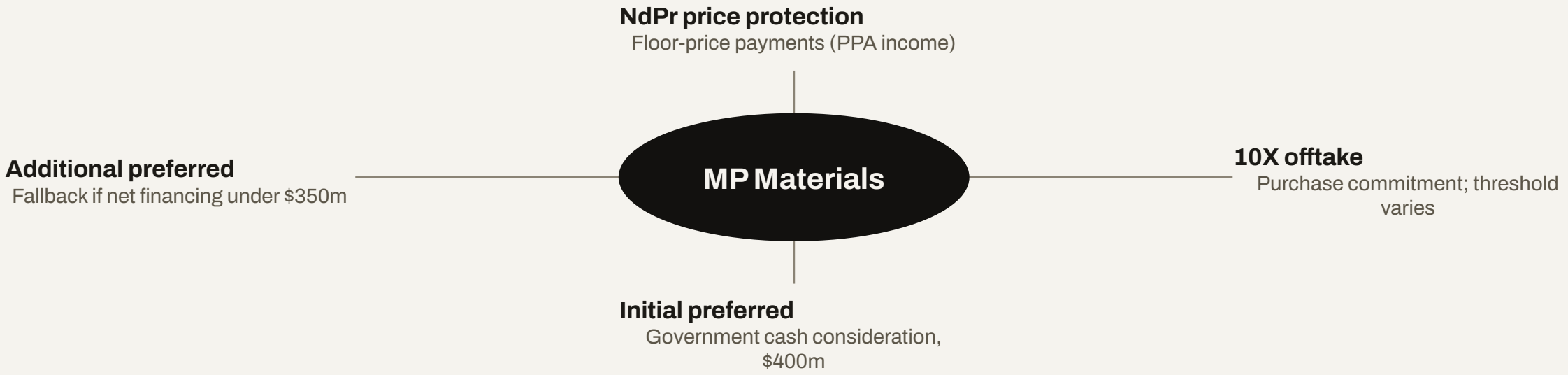
INTERPRETATION The leverage and coverage tests start at a covenant-EBITDA certificate or the Q2 2027 statements. Commissioning has no stated date, so no marker is drawn; headroom is not disclosed.

Source: S01; S06; S08; S19; S09. Company filings; credit agreement; model timing

Government support covers specified exposures while MP keeps its funding duties

Government instruments linked to MP Materials; equal spokes carry no magnitude

Each spoke is a declared government link to MP; line length and position carry no value.



INTERPRETATION Support narrows named price and volume risks; construction cost, timing and financing risk stay with the company. The fallback preferred applies only if net financing falls short of $350m.

Source: S02; S03; S04; S05. Transaction agreement; offtake and price protection agreements

Four financing paths are compared on what the record shows and assumes

Options for a hypothetical sponsor; text names the instrument, the evidence in this case and the main assumption

Option	Instrument	Case evidence	Main assumption
Committed debt	● Bank commitment	● Fees, expiry	● Loan terms
Equity only	● Common stock	● Net proceeds	● No backstop
Equity + revolver	● Stock and RCF	● Both executed	● Draw conditions
Delay to milestones	● Staged later		● Later pricing

● Text describes each option; blank means the case holds no evidence for it. Analytical framing, not sourced decisions.

INTERPRETATION Delay to milestones was not observed in this case and rests on assumption alone. Committed debt is judged without its loan pricing, tenor, conditions or recourse.

Source: S01; S07; S08; S11. FI003 analysis of the reviewed record; illustrative

Equity plus a revolver trades some covenant exposure for liquidity

Categorical editorial marks against the brief's criteria; no weights, scores or totals

Criterion	Committed debt	Equity only	Equity + revolver	Delay to milestones
Funding certain before build	◐ Partly	● Meets	● Meets	○ Does not
No dilution of holders	● Meets	○ Does not	○ Does not	◐ Partly
No debt service pre-revenue	○ Does not	● Meets	◐ Partly	● Meets
Few covenants pre-commissioning	◌ Not stated	● Meets	◐ Partly	● Meets
Liquidity to draw later	◐ Partly	○ Does not	● Meets	◐ Partly
Low refinancing exposure	◌ Not stated	● Meets	◐ Partly	● Meets
Absorbs commissioning delay	◌ Not stated	◐ Partly	◐ Partly	○ Does not

Marks ● Meets ◐ Partly ○ Does not ◌ Not stated

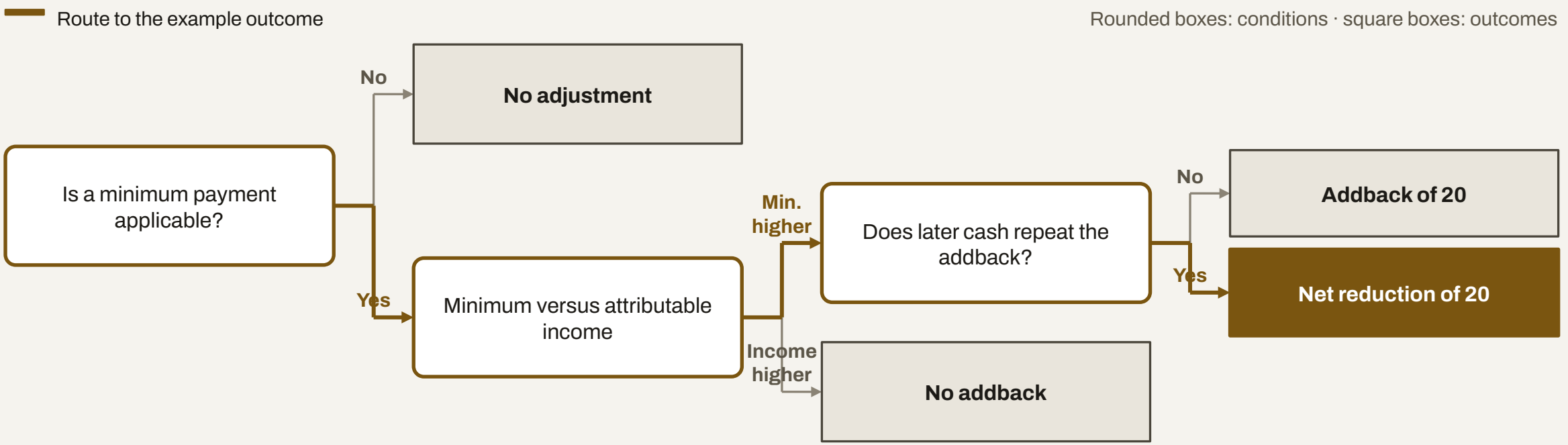
INTERPRETATION

Proposed editorial judgment, draft 0.8, 8 November 2026; pending maintainer review. Marks for committed debt rest on the commitment alone; its loan terms are not public, so cost of capital is left unranked.

Source: S06; S09; S11. FI003 analysis; credit agreement; prospectus supplement; 2025 10-K

A minimum-payment addback in covenant earnings can reverse when cash arrives

Illustrative clause arithmetic with hypothetical inputs, not reported MP results



INTERPRETATION Hypothetical figures of 40 and 20 show the direction only. A reversal lowers covenant earnings near the first tests; covenant EBITDA is a different measure from Adjusted EBITDA.

Source: S09. Credit agreement, definition of Consolidated EBITDA

The revolver adds an undrawn backstop for a small fee and covenant exposure

Equity plus a revolver against equity only, the strongest alternative; the equity raised is the same in both

Dimension	Equity+revolver	Equity only
Cash raised at close	Same equity	Same equity
Dilution	Same	Same
Backstop for overruns	Undrawn capacity	
Carrying cost before draws	Unused fee	
Covenant tests	From trigger	
Response to an overrun	Draw, then raise	New raise
Maturity to manage	2030, springing	

Text names what the option carries on that dimension; blank means it carries nothing there. Editorial comparison.

INTERPRETATION Proposed editorial judgment, draft 0.8, 8 November 2026; pending maintainer review. The unused fee is about $0.71m a year at zero draws. Equity only wins if covenant tests would bind before revenue; without a cost-to-complete, overrun size is unknown.

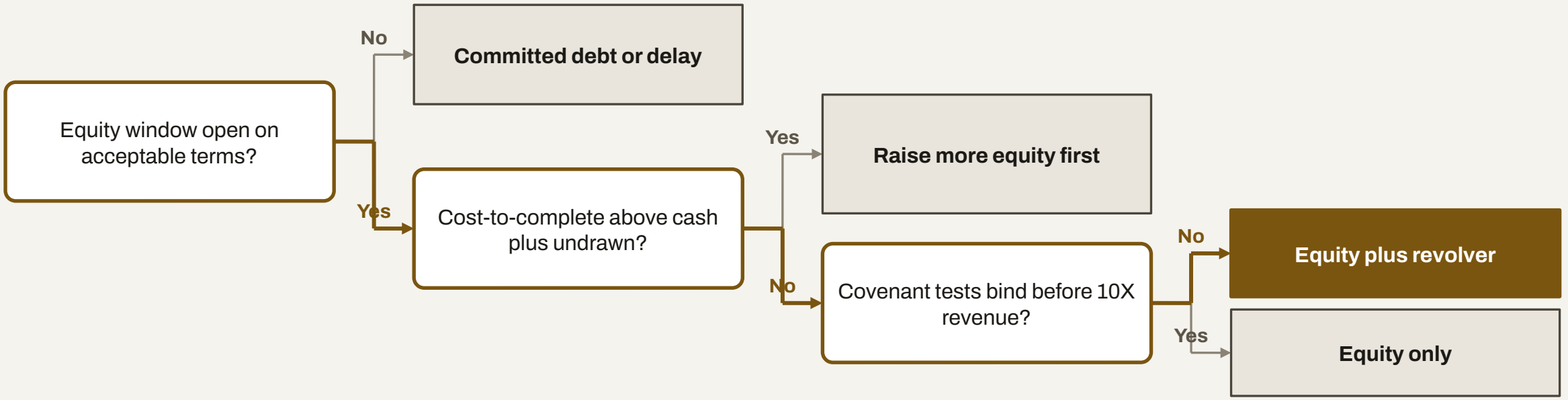
Source: S09; S19. FI003 analysis; credit agreement; Q3 2026 10-Q

Three observable conditions would move the recommendation to another path

Decision conditions for a hypothetical sponsor; the highlighted outcome is the recommendation

Route to the example outcome

Rounded boxes: conditions · square boxes: outcomes



INTERPRETATION Proposed editorial judgment, draft 0.8, 8 November 2026; pending maintainer review. A sponsor without an anchor offtake, price floor or fallback preferred may lack the equity window, which strengthens committed debt.

Source: S02; S09. FI003 analysis; credit agreement; transaction agreement

Six objections narrow the recommendation without reversing it

Each objection, what the draft concedes, how it answers and the limit it keeps

Objection	Conceded	Answer	Limit kept
Equity is not always cheaper	Cost unranked	Fixed charges	No loan terms
The $1bn commitment expired undrawn	Never funded	Bridge, not loan	Fees still paid
JPMorgan acted with Goldman and others	Joint roles	Roles per filing	No fee split
Government support leaves risk	Risk remains	Named risks only	MP funds build
A revolver is conditional, not cash	Not cash	Backstop only	Covenant tests
No optimal or fully funded plan	No optimum	Set triggers	No cost estimate

Text summarises the draft's handling of each objection. Editorial judgment, not sourced decisions.

INTERPRETATION Proposed editorial judgment, draft 0.8, 8 November 2026; pending maintainer review. No structure is optimal and no plan is shown as fully funded: the record has no cost-to-complete for 10X.

Source: S01; S02; S07; S09; S19. FI003 analysis of the reviewed record